accounts full figures of their profits, provisions and reserves. Commencing with the accounts as at 31st December 1967, full figures are being made available in confidence to the Bank of England and through it to the Board of Trade. We discuss the question of fuller publication in later chapters.

42. Acting under powers vested in the Commission by legislation we required the three banks to furnish us with figures in some detail relating to income, expenses and profits, together with particulars of the movements in their reserves, for the years 1955 to 1967. This information was taken fully into account in our inquiry and various references are made elsewhere in this report to income, expenses and profits as factors affecting the case for or against the mergers and our conclusions.

43. It had been our intention to include in this report some of the salient figures of income, expenses and profits, possibly in the form of indices or percentages. The banks, however, objected that the publication of some of these items would make possible calculation of the actual figures. In addition, although we had adjusted the three sets of accounts to make them as comparable as possible, some inconsistencies remained because of differences of accounting practice; the banks contended that incorrect comparisons could be drawn from the figures, with consequent danger of unwarranted speculation in their shares.

44. In view of these representations and after satisfying ourselves that it would have been possible to calculate the undisclosed figures with reasonable accuracy from the indices and percentages which we had thought to include in the report, we decided to omit them. We do not consider their inclusion essential to the exposition of our investigation or of our conclusions. The alternative of reproducing here the banks' published accounts seemed to us pointless since these figures have so little meaning.

CHAPTER 3

Events Leading up to the Proposed Mergers

45. As described in Chapter 1, the structure of the banking system in England and Wales remained essentially unchanged from the publication of the Colwyn Report in 1918 until 1962. In that year the District was acquired by the National Provincial; although now owned by another clearing bank, it continued to have a separate existence and remained a member of the Bankers' Clearing House. Subsequently, in 1966, the National Bank became a subsidiary of the National Commercial Bank of Scotland, retaining its branch network in England and Wales; its Irish business was transferred to a newly-formed subsidiary of the Bank of Ireland, the National Bank of Ireland.

46. The acquisition of the District by the National Provincial meant that one of the two remaining medium-sized independent banks had abandoned the attempt to build itself up from a north and midlands base to a fully national bank. The only clearing bank remaining with such an ambition was Martins. Increasingly, the attention of observers and investors was drawn to Martins' prospects of achieving this ambition and there was an increasing number of rumours of bids or offers.

47. Martins told us that over the years it had received several inquiries from other banks about the possibility of amalgamation, but its board was unreceptive,

wishing to remain independent. However, in 1967 the board felt it necessary to reconsider its attitude; the increasing cost of opening new branches and impending heavy expenditure on transferring branch accounting to computers were making an amalgamation more attractive, possibly even inevitable.

48. The publication of the report on bank charges by the National Board for Prices and Incomes (NBPI) on 24th May 1967 revealed for the first time that the authorities were prepared to question the attitude towards further bank mergers which underlay the recommendations of the Colwyn Report. It appears, however, from the evidence we have heard that there was still some confusion over what the official attitude was. In the period from June to September 1967, each of the three banks under reference had discussions with the Bank of England about the possibility of Martins merging with some other bank. It was made clear to each of them that the authorities would not oppose such a merger provided that it was with another British bank; at first, it was also made clear to Martins and Barclays that the authorities would probably not countenance a merger of Martins with Barclays or Midland since the last two were big enough already, but subsequently this proviso was withdrawn. Each of the three banks under reference, however, further understood that the position was still that no merger would be permitted among the Big Five. The Bank of England, apparently, had not intended to convey this impression and certainly it cannot have been conveyed to the National Provincial or Westminster.

49. The Treasury representatives told us that the evidence given to the NBPI was a reflection of a change, of a trend in opinion that had not yet got to the point of dealing with the question of mergers among the Big Five as a specific issue. They had waited for definite proposals from the banks and had decided their attitude when the Westminster/National Provincial proposals were put to them in January 1968.

50. On 9th December 1967 the board of Martins announced that a study had been set in hand to determine whether or not a merger or other form of association with another bank would be in the public interest and the best interests of the bank and its shareholders. On 13th January 1968 it was announced that the possibility of a merger was being explored with several banks. A procedure had been devised by the end of 1967, with the approval of the Governor of the Bank of England, as a result of which on 11th January the chartered accountants Cooper Brothers & Co. furnished particulars, in confidence, of Martins' profits, assets, reserves, etc. to six leading banks which had expressed an initial interest in acquiring Martins' shares. Under the agreed procedure the six banks were allowed a period of 14 days in which to consider their position and submit proposals to Cooper Brothers together with information about their own profits, assets and reserves. The three banks which submitted the highest offers were then to be given details of such offers and each of them was to be allowed a further period, which would expire on 6th February, to increase its offer if it wished to do so.

51. In his statement to shareholders at the Annual General Meeting of the bank on 13th February, the chairman of Martins, Sir Cuthbert Clegg, said that this procedure had been drawn up "in the belief that official sanction would not be given to association between Martins and a non-resident bank or to a merger between any of the Big Five". On 26th January, however, the Westminster and National Provincial Banks announced their intention of merging, with the approval of the authorities. The previous day had been the last day for submitting

first offers for Martins' shares under the agreed procedure. The two which were merging had decided not to make offers, neither had two of the others which had expressed an initial interest in Martins. In the afternoon of 29th January, Barclays and Lloyds heard from Cooper Brothers that they had made the only offers. On 31st January the chairmen of Lloyds and Barclays met to discuss the situation created by the National Provincial/Westminster announcement and by the fact that their two banks were the only bidders for Martins. It was on this occasion that the possibility of Barclays and Lloyds merging was first discussed.

52. On 8th February Barclays, Lloyds and Martins announced that it was proposed to recommend to shareholders that the two larger banks should merge and that the combined bank should bid for Martins. Martins was willing to recommend to its shareholders that Martins should take part in the combined group. At the same time the Board of Trade announced that after consultation with the Treasury and Bank of England these proposals had been referred to the Commission and that the banks had undertaken not to proceed further until the Commission had reported.

CHAPTER 4

The Case for the Mergers as made by the Three Banks

53. The three banks have told us that they wish to merge for the following reasons:

(i) to combine their resources to cater for the present and future needs of expanding industrial groupings;

(ii) to mobilise and manage the increased resources efficiently and economically by eliminating overlapping branch representation;

(iii) to obtain maximum benefit from modern techniques in the field of high volume accountancy and book-keeping processes;

(iv) to co-ordinate and develop the overseas interests of the three banks with the object of providing wider coverage to meet the varied requirements of United Kingdom traders throughout the world;

(v) to achieve a stature both domestic and international to maintain the position of British banking in relation to foreign banks;

(vi) to develop this country's important role in invisible trade.

54. The banks' arguments on these points are developed in the following sections. Thereafter certain points which apply particularly to Martins are given and the final paragraph states how the banks would hope to use such savings in costs as the mergers would permit.